at ₹1 crore, which as events showed was highly optimistic. The usual limit of one-fourth was put on the ratio between cash reserves and liabilities. S.D. Birch who was the cashier of the Government Bank was appointed Secretary and Treasurer of the bank but his tenure proved to be a short one for he resigned in January 1845.

The early days of the Bank of Madras were not particularly encouraging. The trade in Madras was extremely seasonal with very little activity from August to November. It was also subject to extreme year-to-year variations. Added to this were complications which arose from the fewness of large European merchants in Madras. It became difficult to fill the quota of proprietary Directors from purely mercantile men. And since the mercantile men on the Board generally came from the same firms (such as Binny & Co., Arbuthnot & Co., and Lecot & Co.) year after year, it was difficult for them not to use the bank to further their own interests. Some agency houses speculated in government securities and Binny & Co. was once allowed to borrow a third of the loanable capital of the bank for speculating in the Company's paper. This act nearly cost the bank its charter. The government Directors neither had the time or the knowledge required to keep a check on the activities of their mercantile colleagues. It was also a thankless task for the government Directors who resigned their appointment as soon as they could. The bank was also unlucky in its Secretaries during those years. Birch was pompous and inefficient, and the ones who followed were not much better, allowing the mercantile Directors to do pretty much as they pleased.

Within the first six months, the bank had locked up a large amount of its resources in government securities in a city where there was no ready market for them. The specie crisis of 1844–46 was another sorry chapter in the affairs of the fledgling bank when the specie was reduced to well below the minimum required by the charter. While the specie was declining, bank notes were accumulating in the treasury of the government. The bank applied to the government for aid in cash and the nature of the crisis was far too grave for the government to refuse it. The government charged the Directors of the bank with lack of foresight in tying up so much of the bank's resources in government securities. Given the slack money market in Madras prevailing at the time, the Directors certainly secured a fuller employment of the bank's funds by investing them in government